

Do You Run Out of Money Before You Run Out of Month?

budget if you just guess. Guessing invariably results in figures that are far removed from reality and are usually on the lower side.

To track your expenses, you need to keep a daily tally of how much you spend in the different categories. One of the easiest ways to do so is to carry around a small notebook and write down the amount you spend on every single item. Include everything from coffee and soda to postage stamps and parking meters. Do this for two or three weeks (a month is better) to track where your cash has gone.

At the end of your tracking period, you can add the totals to your tracking form. You can then replace any estimates in your budget with accurate figures. Remember that it's the little things that add up. The first time I tracked my expenses, I discovered that I spent \$100 that month on coffee. I had no idea that my morning cappuccino cost so much! After this discovery, I drank the office coffee and treated myself once a week to a cappuccino. If you can save \$20 a week, that's \$1,040 in one year!

Tracking Form

Item	Cost
Example: Lunch	\$4.96